

Another good example of this trade concept is Canadian Natural Resources. We took a large position in this stock when they announced a new oil sands project, which had the potential to generate \$1 billion a year in cash flow. Even though it was obvious and clear that this production would be coming on stream, the market didn't assign any value to it. What tends to happen is that people who use fundamental screens, such as price to cash flow and other metrics, will not pick these stocks because the potential future revenue does not show up in the statistics.

Does the type of trade idea illustrated by this example apply only to oil producers or does it have broader applicability?

The broader idea is getting optionality from a business opportunity that is not producing current revenues, but has the potential to produce future revenues—a concept that would apply to other industries as well. For example, in recent years, Apple was frequently priced at the value of their existing products without pricing in the potential for future revenues on new products, despite their consistent record of innovation.

Sometimes the future opportunity may relate to asset values rather than increased cash flow. For example, one of our holdings is a company called Paramount Resources, which acquires land that has the potential for oil or gas exploration. They will identify interesting geological situations, lease the land, and just wait. They will sell the land once the area becomes discovered by oil companies who start drilling exploratory wells in the vicinity. If you looked at Paramount's numbers, you would never buy the stock; it always looks expensive because they are capturing the resource, but are not developing it themselves. So its true value never shows up in the numbers. You have to be willing to look at their acreage and figure out what it's really worth from an asset basis rather than a cash flow basis.

Any other examples of companies with free optionality?

Celanese, which I mentioned before, is currently trading at only 10 or 11 times earnings, and they have a new process for making ethanol that could be a complete game changer for them. I don't think the market is attaching much, if any, value to this process because it hasn't gone into